

Executive Brief

E-Commerce RFM Customer Segmentation

One-page briefing document — Olist customer base, RFM analysis

The Numbers

Metric	Value
Total unique customers analyzed	94,989
Total gross revenue analyzed	R\$ 15,737,667.52
Platform-wide ARPU	R\$ 165.68
Revenue from Loyal + Champions	R\$ 9,143,679.49 (58.10%)
Revenue exposed in At Risk	R\$ 427,933.15
Revenue dormant in Lost	R\$ 2,073,734.79

The Situation

Olist's customer base is not homogeneous. Five behavioral segments exist, each requiring a different CRM approach:

- **Champions (13,354 / 14.06%)** — R\$ 306.21 ARPU. Your most profitable customers, currently receiving no differentiated treatment.
- **Loyal (41,740 / 43.94%)** — R\$ 121.10 ARPU. Your largest cohort by volume; largest single revenue contributor by segment.
- **At Risk (1,900 / 2.00%)** — R\$ 225.23 ARPU. High-value customers going quiet. Second-highest ARPU of any segment.
- **Lost (12,593 / 13.26%)** — R\$ 164.67 ARPU. Previously active, now fully dormant.
- **Others (25,402 / 26.74%)** — R\$ 161.10 ARPU. Moderate activity, unclear trajectory.

Source table: docs/12_Business_Insights.md.

Why It Matters Now

- **R\$ 427,933.15** in At-Risk revenue is actively decaying. This cohort's ARPU (R\$ 225.23) is the second-highest of any segment — these are not marginal customers.
 - **R\$ 2,073,734.79** sits dormant in the Lost segment. A 5% win-back rate recovers R\$ 100K+ at near-zero acquisition cost.
 - Blast-style, undifferentiated marketing simultaneously overspends retaining Champions (who would convert regardless) and underspends on At-Risk intervention (where timing determines outcome).
-

The Decision Being Asked

Approve segment-differentiated CRM execution across four workstreams:

1. VIP retention program for Champions
2. Cross-sell engine for Loyal customers
3. Automated 14-day inactivity trigger for At-Risk customers

4. Low-cost automated win-back sequence for Lost customers

Full execution roadmap with phasing: docs/13_Business_Recommendations.md.

Supporting Detail

For	Read
Full quantitative targets	docs/04_Business_Objectives.md
Methodology behind the segments	docs/10_Methodology.md
Known limitations	docs/14_Limitations.md
Live dashboard	https://public.tableau.com/views/RFMAnalysis_17734745913220/Dashboard4

Prepared by Mohammad Ammar, Principal Data Analytics Consultant. All figures sourced directly from SQL/Python pipeline outputs in this repository — see [sql/](#) and [python/](#).